Manage operational risk

D2.TTO.CL4.11

Trainee Manual





Specialist centre
for foods, tourism
& hospitality

Manage operational risk

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Trainee Manual

Project Base

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The Association of Southeast Asian Nations (ASEAN) was established on 8 August 1967. The Member States of the Association are Brunei Darussalam, Cambodia, Indonesia, Lao PDR, Malaysia, Myanmar, Philippines, Singapore, Thailand and Viet Nam.

The ASEAN Secretariat is based in Jakarta, Indonesia.

General Information on ASEAN appears online at the ASEAN Website: www.asean.org.

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Introduction to trainee manual

To the Trainee

Congratulations on joining this course. This Trainee Manual is one part of a ‘toolbox’ which is a resource provided to trainees, trainers and assessors to help you become competent in various areas of your work.

The ‘toolbox’ consists of three elements:

- A Trainee Manual for you to read and study at home or in class
- A Trainer Guide with Power Point slides to help your Trainer explain the content of the training material and provide class activities to help with practice
- An Assessment Manual which provides your Assessor with oral and written questions and other assessment tasks to establish whether or not you have achieved competency.

The first thing you may notice is that this training program and the information you find in the Trainee Manual seems different to the textbooks you have used previously. This is because the method of instruction and examination is different. The method used is called Competency based training (CBT) and Competency based assessment (CBA). CBT and CBA is the training and assessment system chosen by ASEAN (Association of South-East Asian Nations) to train people to work in the tourism and hospitality industry throughout all the ASEAN member states.

What is the CBT and CBA system and why has it been adopted by ASEAN?

CBT is a way of training that concentrates on what a worker can do or is required to do at work. The aim is of the training is to enable trainees to perform tasks and duties at a standard expected by employers. CBT seeks to develop the skills, knowledge and attitudes (or recognise the ones the trainee already possesses) to achieve the required competency standard. ASEAN has adopted the CBT/CBA training system as it is able to produce the type of worker that industry is looking for and this therefore increases trainee’s chances of obtaining employment.

CBA involves collecting evidence and making a judgement of the extent to which a worker can perform his/her duties at the required competency standard. Where a trainee can already demonstrate a degree of competency, either due to prior training or work experience, a process of ‘Recognition of Prior Learning’ (RPL) is available to trainees to recognise this. Please speak to your trainer about RPL if you think this applies to you.

What is a competency standard?

Competency standards are descriptions of the skills and knowledge required to perform a task or activity at the level of a required standard.

242 competency standards for the tourism and hospitality industries throughout the ASEAN region have been developed to cover all the knowledge, skills and attitudes required to work in the following occupational areas:

- Housekeeping
- Food Production
- Food and Beverage Service
- Front Office

- Travel Agencies
- Tour Operations.

All of these competency standards are available for you to look at. In fact you will find a summary of each one at the beginning of each Trainee Manual under the heading ‘Unit Descriptor’. The unit descriptor describes the content of the unit you will be studying in the Trainee Manual and provides a table of contents which are divided up into ‘Elements’ and ‘Performance Criteria”. An element is a description of one aspect of what has to be achieved in the workplace. The ‘Performance Criteria’ below each element details the level of performance that needs to be demonstrated to be declared competent.

There are other components of the competency standard:

- *Unit Title:* statement about what is to be done in the workplace
- *Unit Number:* unique number identifying the particular competency
- *Nominal hours:* number of classroom or practical hours usually needed to complete the competency. We call them ‘nominal’ hours because they can vary e.g. sometimes it will take an individual less time to complete a unit of competency because he/she has prior knowledge or work experience in that area.

The final heading you will see before you start reading the Trainee Manual is the ‘Assessment Matrix’. Competency based assessment requires trainees to be assessed in at least 2 – 3 different ways, one of which must be practical. This section outlines three ways assessment can be carried out and includes work projects, written questions and oral questions. The matrix is designed to show you which performance criteria will be assessed and how they will be assessed. Your trainer and/or assessor may also use other assessment methods including ‘Observation Checklist’ and ‘Third Party Statement’. An observation checklist is a way of recording how you perform at work and a third party statement is a statement by a supervisor or employer about the degree of competence they believe you have achieved. This can be based on observing your workplace performance, inspecting your work or gaining feedback from fellow workers.

Your trainer and/or assessor may use other methods to assess you such as:

- Journals
- Oral presentations
- Role plays
- Log books
- Group projects
- Practical demonstrations.

Remember your trainer is there to help you succeed and become competent. Please feel free to ask him or her for more explanation of what you have just read and of what is expected from you and best wishes for your future studies and future career in tourism and hospitality.

Unit descriptor

Manage operational risk

This unit deals with the skills and knowledge required to Manage operational risk in a range of settings within the travel industries workplace context.

Unit Code:

D2.TTO.CL4.11

Nominal Hours:

70

Element 1: Undertake initial operational risk management procedures

Performance Criteria

1.1 Establish the context for operational risk

1.2 Identify operational risk

1.3 Identify operational risk control procedures

1.4 Identify operational risk control procedures

Element 2: Prepare risk management strategies

Performance Criteria

2.1 Develop written operational risk management policy

2.2 Develop written operational risk management plans

2.3 Develop written operational contingency plans

Element 3: Communicate risk management strategies

Performance Criteria

3.1 Inform staff of operational risk management and contingency plans

3.2 Conduct staff training

3.3 Prepare resources to inform customers of operational risk management plans and operational contingency plans

Element 4: Implement risk management strategies

Performance Criteria

4.1 Plan for the introduction of written risk management plans

4.2 Implement risk management plans as written

Element 5: Manage on-going risk exposure

Performance Criteria

5.1 Identify new operational risks and changes in identified operational risk

5.2 Monitor implementation of existing plans and strategies

5.3 Ensure near miss events are identified, recorded and analysed

5.4 Evaluate implementation of existing plans and strategies

5.5 Revise existing plans and strategies

Assessment matrix

Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

		Work Projects	Written Questions	Oral Questions
Element 1: Undertake initial operational risk management procedures				
1.1	Establish the context for operational risk	1.1 Activity 1	1,3	1
1.2	Identify operational risk	1.1, 1.3 Activity 2, 3	2,3,4	2
1.3	Assess operational risk	1.2 Activity 1, 3	5,6,7,8	3
1.4	Identify operational risk control procedures	1.3 Activity 1	9,10	4
Element 2: Prepare risk management strategies				
2.1	Develop written operational risk management policy	Activity	11	5
2.2	Develop written operational risk management plans	2.1, 2.2	12, 14, 15	6
2.3	Develop written operational contingency plans	2.3	12	7
Element 3: Communicate risk management strategies				
3.1	Inform staff of operational risk management and contingency plans	Activity 1, 2	16, 17, 19	8
3.2	Conduct staff training	Activity 1, 2	18, 19	9
3.3	Prepare resources to inform customers of operational risk management plans and operational contingency plans	Activity 3	19, 20	10

		Work Projects	Written Questions	Oral Questions
Element 4: Implement risk management strategies				
4.1	Plan for the introduction of written risk management plans	4.1	21	11
4.2	Implement risk management plans as written	4.2, 4.3	22	12
Element 5: Manage on-going risk exposure				
5.1	Identify new operational risks and changes in identified operational risk	Activity	23	13
5.2	Monitor implementation of existing plans and strategies	Activity	24	14
5.3	Ensure near miss events are identified, recorded and analysed	-	25	15
5.4	Evaluate implementation of existing plans and strategies	Activity	26	16
5.5	Revise existing plans and strategies	Activity	26	17

Glossary

Term	Explanation
Adherence	The act of doing what is required
ALARP	Acronym for as low as reasonably practicable
Audit	An official inspection of an organisations accounts or procedures
Best practice	Commercial or professional procedures that are accepted or prescribed as being correct or most efficient
Case study	A particular instance of something used or analysed in order to illustrate a thesis or principal
Compliance	The action of complying with a wish or command
Consequence	A result or effect, often unpleasant
Context	The circumstances that form the setting for an event
Contingency	A future event or circumstance which is possible but cannot be predicted with certainty
Duty of Care	A moral or legal obligation to ensure the safety or well-being of others
Fire drill	A practice of the emergency procedures to be used in the event of fire
Hazard	A danger or risk
Hierarchy of control	A list of control measures in priority order that can be used to eliminate or control exposure to risk
ISO31000	A family of standards relating to risk management codified by the International Organisation for Standardisation
Jurisdiction	The official power to make legal decisions and judgements
Liaison	Communication or cooperation which facilitates a close working relationship between people and organisations
Likelihood	The state or fact of something being likely

Term	Explanation
Management information system	A system for gathering the financial, production and other information that managers need to run a business
Mitigate	Make something bad less severe, serious or painful
Near miss	A narrowly avoided collision or other accident
Operational	In or ready for use
Organisational	Relating to an organised body of people with a purpose
Policy	A course or principle of action adopted or proposed by an organisation
Risk	A risk is the potential (or possibility) for a hazard to cause injury or illness in the workplace.
Risk exposure	The quantified potential for loss that might occur as a result of some activity
Risk treatment	The process of selecting and implementing measures to control risk
Role play	Participation in a role playing activity
Scenario	A written outline of a story giving details of the plot and individual scenes
Senior management	A team of individuals at the highest level of the organisation
Simulation	The imitation or feigning of something
Stakeholder	A person with an interest or concern in something
Strategic	Relating to the identification of long term aims
Strategy	A plan of action designed to achieve a long term result
SWOT Analysis	A study undertaken by an organisation to identify its internal strengths and weaknesses and external opportunities and threats
Workplace practices	The act of doing something again and again in a workplace context

Element 1: Undertake initial operational risk management procedures

1.1 Establish the context for operational risk

Introduction

"As part of cleaning the hotel, Lan and Jo are required to clean guest rooms including the bathrooms. This process involves the use of a very strong smelling cleaning chemical which always makes them feel dizzy, even whilst wearing the face masks which management has provided. Not surprisingly neither of them particularly likes this part of their work and one morning, whilst sitting in the staff canteen they were loudly expressing this to their colleagues. One of them, Po came over and said that she had heard that there was a new product on the market for cleaning which has virtually no odour. She suggested they mention this to the shift supervisor"

In this example Po has taken steps on her own initiative to manage an operational risk by considering a problem and suggesting a plan of action.

Risk can be present in many areas within which a business operates and the hospitality industry is no exception.

What then is risk? According to the International Organisation for Standardisation (ISO), risk is "the effect of uncertainty on objectives". Put simply it is the risk of something happening that could impact on the objectives of a business or organisation. The risk Lan and Jo were confronting related to their own health and the impact of a work practice on this.

Risk Management can be simplified into 4 questions:

1. What untoward things could happen?
2. What would be the impact?
3. What can we do about it?
4. How do we tell everyone involved?

Risk can operate on four levels;

1. Strategic - which relates to actions taken at senior management level such as a decision to open a new hotel. Risk may be manifested through incorrect assumptions upon which longer term decisions are made.

2. Organisational - which relate to the management structures, systems and processes that the organisation adopts to achieve its strategic goals. Risks in this area may arise due to poor management of systems and processes.

3. Operational- which is linked to a breakdown in systems within an organisation. Such risks may include fraud, IT system failure and power outages.

4. Task risks -which result from an individual's work tasks. This may be something like a staff member forgetting to take a drink to a room thus resulting in the hotel having a poor reputation.

Operational Risk is the risk of loss due to a failure of systems within an organisation. This may take many forms and may range from an immediate threat right through to something which will develop over a protracted period of time. Having an ability to understand the context of this risk is an important part of business survival.

When we establish the context of risk we need to do three things:

1) Understand the organisations background and the environment, in which it operates,

2) Scope out the risk management activities that will be undertaken, and

3) Build a structure in which risk can be managed.

Establishing the external context

Every organisation operates in an external environment which impacts greatly on its ability to achieve objectives. To establish the external environment you need to identify what is known as "PESTL" meaning the political, economic, social, technological and legal environments at a local, regional, national and international level. Imagine a travel business with key operations in a region in Africa which becomes politically unstable. There are sizable risks associated with conducting business in this sort of environment.

Another area that needs to be considered is the key trends and drivers which are having an impact on the organisation's operations. The Travel Industry has seen the growth, driven by the internet and phone apps of people arranging their own holidays. What risks does such growth have on the Travel Industry? In addition to these factors there are also the wider perceptions and values of the key customers and stakeholders with whom the organisation deals and the way in which they view the organisation.

Establishing the internal context

The internal workings of the organisation also need to be considered in terms of the risks associated with its culture, structure, processes and how it sets out to achieve its objectives. This involves understanding areas such as the resources and knowledge available to the organisation, how information is used, policies and systems used, standards adhered to and governance issues and perceptions of internal stakeholders.

Factors impacting on operational environments

A number of factors can impact on the operational environment and may have risks attached to them. Such factors could include:

- Weather – prevailing weather conditions such as strong afternoon winds, blizzards, heavy rain affecting flights, boat trips, hiking
- Customer numbers – higher volumes of guests may mean staff are rushed and tasks may not be completed to the right standard
- Time of day – facilities, roads, tourist attractions may be crowded at certain times of the day and congestion carries risks of its own
- Seasonality – in some locations the time of season i.e. wet season may result in added risks due to heavy rain

- Type of activity or tour – are guests engaged in activities which carry a higher risk such as bungee jumping, SCUBA diving, trekking or sky diving?
- Experience and age of customers – customers who are inexperienced in certain activities or are young may be exposed to more risk as a consequence of this
- Ability and physical condition of customers – some venues may offer activities which could be riskier for guests who due to a lack of ability or advanced age would be more exposed to risk
- Equipment being used and location – where and with which equipment are activities being undertaken. Old equipment in remote locations may carry risks of its own.

Establishing context of risk the management process

According to ISO31000:2009 establishing the context of the risk management process involves:

- Determining what are the goals and objectives of the risk management process
- Defining who is responsible for this
- Defining the scope and depth and breadth of risk management activities
- Defining the activity, process, function, project, product, service or asset in terms of time and location
- Defining the way performance and effectiveness is evaluated in the management of risk
- Identifying what sorts of decisions need to be made.

According to ISO31000 Risk may encompass:

- Personal health and injury – what is the risk of staff, customers or other stakeholders suffering effects on their health or injury as a result of the operations of an organisation
- Product malfunction or failure, including systems and equipment – there may be risk as a consequence of a product the business sells or one of their systems not working correctly and affecting a customer experience

- Damage to property and equipment, including customer property - a hospitality venue may suffer damage due to the actions of staff, customers or other stakeholders. Customer property when left on premises may also be at risk of damage or being lost.
- Industrial dispute – strike action may carry the risk of affecting the operations of a tourism business e.g. garbage collection, air services etc.
- Professional incompetence – there may be risk associated with the actions of a staff member who through neglect or poor decision making cause loss to the business
- Natural disasters – there is always the risk of such disasters such as floods, cyclones, earthquakes etc. affecting business operations
- Security failure – risk can be attached to a breach insecurity leading to loss or injury to guests or staff
- Financial loss – there may be a danger of financial loss due to market downturns or increased competition

- Political events – changes in the political structure of a host country may result in instability affecting safe operations or even changes to existing laws which impact on how the business is run
- Terrorism – in some locations there may be an enhanced risk of terrorist attack on passengers, tour participants and staff.

Legal requirements

The management of risk is carried out against a background of legal and regulatory requirements. In the first instance, most organisations which seek to be officially recognised for their risk management efforts will seek to comply with “ISO31000 Risk Management” and be able to promote this fact to all stakeholders. ISO is not a legal requirement for business in most jurisdictions, however local legislation and regulations are. In such instances a business will need to ensure they follow all required legal directions. An important part of this is the concept of duty of care. This refers to a moral or legal obligation to ensure the safety and wellness of others. A business has a duty of care towards its staff, customers and key stakeholders to ensure that they remain safe. Staff have a duty of care to follow instructions and work in a particular way to ensure their own safety. Even customers have an obligation to follow instructions in an emergency. Accepting a duty of care means that risk must be managed in an ongoing manner. In many jurisdictions, hospitality and tourism establishments will be required to demonstrate that they are compliant with relevant local laws relating to safety and they are exercising their duty of care responsibly.

Stakeholders who may be at risk

All of the potential risk factors described above will need to have been identified so that they can be incorporated into risk management planning. This will also need to have considered which stakeholders may be affected by what potential risks i.e. customers and other members of the public affected by wind on the resort beach and staff affected by security issues involving intoxicated customers.

1.2 Identify operational risk

Introduction

The process of identifying operational risk should lead to the creation of a risk statement which will express the existing key operations in an organisation and then describe the specific risks associated with each of them. In this way risk is normally identified in terms of major root causes which spring from normal activities. These root causes often focus on four main areas:

1. **People** - how do the actions of people working in the business/organisation contribute to creating potential risks? Ideally appropriate levels of training and commitment ensure that this does not happen, but we need to consider this as a root cause. What actions are staff taking that may be increasing exposure to risk? An example could be a new staff member who through lack of experience (and supervision) makes a booking error which has significant costs both in terms of the reputation of the business and in financial terms
2. **Process** - what processes are currently being employed and what kinds of risks might be present in these processes?
3. **Technology** - the use of technology will represent many advantages for the organisation but it may also be come with the potential for significant risk. A computer system could, for example, crash and may result in a loss of data or impact on the ability to service clients. Internet based applications are also open to hacking or having their security compromised
4. **Environment** - the operating environment of the organisation needs to be carefully scrutinised to identify potential risk. This may operate on an economic level i.e. the impact of the GFC (global financial crisis) or the SARS (severe acute respiratory syndrome) outbreak on travel and tourism or political such as a change of government and corresponding regulatory changes in a nation in which the organisation does business.

Correct identification of risk is critical to an organisation as this is the process which ensures what will be included on a risk statement. Without this, the risk may go unnoticed and hence no allowance will be made for it with potentially severe consequences should the risk be realised in the future.

The goal should be to identify the following things:

- *Where is the risk within the organisations activities?*

  A large tour company will have a number of departments but risk may be most extreme in certain areas e.g. coach tours which involve the road transport of customers, the loading and unloading of luggage, and the consumption of meals in external venues

- *When is the risk most likely to be present?*

  Some risk manifests itself more strongly at certain times of the day or during particular seasons. A tour company in the tropics may need to consider risks associated with torrential rain during the wet season and its impact on customers and staff. A large tour operator may take tours to remote areas that pose a risk to people on that tour

- *How is the risk manifested? What brings the risk about?*

  Is it a consequence of certain work practices or is it linked to conditions in the business environment?

- *Why is the risk present?*

  Seeing the underlying root causes can assist in future treatment of the risk.

- *What effects does the risk have?*

  Are certain areas impacted more than others? Perhaps some staff will be more strongly affected than others.

Risk Identification techniques

To successfully answer the questions above, Effective Risk Identification relies on the following techniques:

Analysing incidents: By looking at incidents within the organisation we can determine the risks associated with certain processes or tasks. If a number of staff are getting injured using a certain housekeeping trolley at a resort we can deduce a risk associated with this.

- *Looking through historical data on the organisation*: This enables us to see recurrences of risk and the frequency of incidents related to it
- *Getting data from SWOT analyses*: Strength, weakness opportunity and threat analyses can make us aware of various forms of risk relating to the organisation's place in the market, future threats related to this and efforts to improve its position
- *Audits and various inspections*: By carrying out audits of operations and inspecting existing systems and processes, likely risks can be identified
- *Surveys and questionnaires*: Getting feedback both from staff and customers may reveal risks which they have experienced or are anticipating, giving further information to the organisation's risk managers
- *Reviewing legislation, regulations and codes of practice*: Compliance with legislative, regulatory and industry codes can be examined. Any deviation from this may reveal areas of risk
- *Running risk identification workshops*: Involving staff in facilitated workshops which focus on identifying risk in their operational areas can be a very useful exercise
- *Collecting best practice statistics from the organisation*: Where is the organisation doing well and meeting required parameters. If this level of best practice is not being duplicated across the organisation then it may be resulting in exposure to various risks.

1.3 Identify operational risk control procedures

Introduction

Once risk has been identified, its nature needs to be assessed. This involves determining both the likelihood of the risk taking place as well as the consequences if it does. ISO31000 explains that risk assessment may be undertaken to varying degrees of detail depending on the risk, the purpose of the analysis and the information, data and resources available. This may be carried out at varying points of time depending on the project/process/activity that is being dealt with.

Likelihood of risk

Great effort can be made to treat risk but in the first instance we should attempt to determine the likelihood of something happening in the first place. If it is highly likely i.e. a new team member using dangerous machinery then we know that we must take immediate remediating steps. In situations where the likelihood is low then action will not be considered to be urgent. Likelihood can be expressed via the following Category rankings which classify risks into categories which represent their likelihood:

Almost certain - this denotes an 80% probability where there is a high level of recorded incidences and strong evidence to support it. This event is almost certain to occur within the foreseeable future.

Likely - this denotes a >50% probability meaning the event will probably occur in most circumstances. There will also be regular recorded incidents and strong evidence for this to likely occur within the foreseeable future.

Possible - this denotes a >20% probability that the event may occur at some time. There are a few infrequent random incidents which have been recorded with only a little evidence to support the likelihood of occurrence within the foreseeable future.

Unlikely - this denotes a >10% probability meaning the event would only occur in rare circumstances. There have been no recent incidents and there is little opportunity for the event to occur within the foreseeable future.

Rare - this denotes a 1% probability with the event only occurring in exceptional circumstances and with no known previous incidents.

(See the Risk Matrix)

Consequences of risk

Risk events can carry differing consequences. Consider the difference between a staff member in an office working with paper and someone who is involved with machinery in a factory. In each case should an accident take place the consequences are going to be substantially different. A paper cut for the office worker could be contrasted against a severe injury as a result of getting an arm stuck in a machine. The paper cut is likely to have very different consequences to an arm getting stuck in a machine and for this reason the following hierarchy of consequences is used to determine what risks require more urgent attention and which can be dealt with as and when required. The possible consequences of injury may be:

- Death or permanent disability
- Very serious injury or long term illness requiring specialist treatment or hospitalisation
- Medical attention and several days off work
- Minor injury requiring first aid but no time off work
- Insignificant so no treatment required.

According to ISO31000 the net effect of this assessment can be expressed by the following equation:

Risk = Consequence + Likelihood

This equation is represented through a Risk Matrix like the one described below which can be used to determine the likelihood and consequences of the risk occurring. In this table high risk is represented via the colour red, medium risk via orange and low risk via yellow.

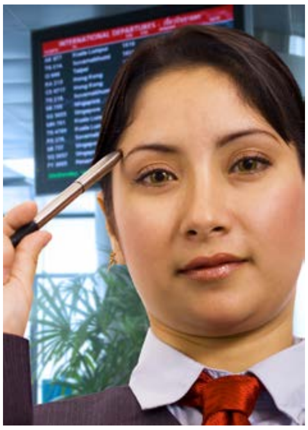
RISK MATRIX	**LIKELIHOOD OF OCCURRENCE**				
WHAT ARE THE POSSIBLE CONSEQUENCES?	Almost certain	Likely	Possible	Unlikely	Rare
Death or permanent disability	1	1	2	3	4
Very serious injury or long term illness	1	2	3	4	5
Medical attention and several days off work	2	3	4	5	6
First aid needed but no time off work	3	4	5	6	7
Insignificant	4	5	6	7	8

Legend:

High Risk	**Medium Risk**	**Low Risk**

Action:

If rated 1, 2 or 3 or “high risk” you must consider alternatives to doing the action. Controls will need to be in place to ensure safety.



If rated 4 or “medium risk” additional controls may be needed to undertake the task safely

If rated 5, 6, 7, or 8 or “low risk” it is okay to undertake the tasks safely with the existing controls in place.

NOTE: Controls or hierarchy of controls will be discussed in section 1.4 of this manual.

By using this table you can prioritise the risks which are most likely to require action on your part and allocate resources where required. This information can then be used to assess the exposure of the business to damage or claims arising from such risks eventuating.

Exposure of the business to damage or claims

Every business involved in managing risk must carefully assess its exposure to risk in three areas:

- **Legal** - could risk events if realised lead to legal liabilities, either through the business being non-compliant with legislation/regulation and facing fines, or via legal proceedings being initiated against it as a result of a stakeholder suffering loss which could be traced back to a risk the business should have provisioned for. Legal also implies a reputational loss if the business is seen to be negligent in managing its own risks effectively
- **Material** - risk events could result in physical damage to the business premises, equipment and other physical assets such as vehicles and perishable (foods that spoil, rot and go bad quickly e.g. dairy) and non-perishable (foods that don’t spoil or decay e.g. flour) items
- **Financial** - what costs in financial terms would the business experience if a risk was realised. This cost may relate to compensating stakeholders, paying fines or having to affect repairs or reconstruction.

Deciding whether to address risk

Once this exposure has been considered the business must decide whether the risk as identified should be addressed. This decision will hinge on the identified magnitude of consequences if the risk is realised. In some instances the nature of the risk will be such that action is not really feasible and the business may have to rely on strong contingency planning to deal with it. In other cases it may be deemed practical to address the risk and hence this action will become part of the overall risk management strategy.

Risk sharing options

One option a business may consider in situations where it has to carry a significant risk is known as “sharing”. In this case another party, usually an insurer “shares” some of the risk with the business. In return for a cost in terms of insurance coverage, the business will be covered for significant risk events. An example could be a resort on a tropical island. This business would be well aware of the potential risk inherent in weather events such as typhoons, and the only practical approach would be for them to seek to “share” this risk with an insurer, albeit at a substantial financial cost.

Operational risk control options and evaluating existing strategies

The business will need to consider and evaluate various risk control options. This will be done with specific reference to the environment the business operates in and the nature of risks it faces. As well as sharing risk, the business will need to consider three other options in relation to its ongoing risk approach.

1. **Avoidance** - can some activities be avoided altogether? A resort may decide to discontinue SCUBA diving due to the risk it carries and the difficulties in controlling this. This approach is not always practicable e.g. an airline could not decide to avoid flying due to the risk!
2. **Reduction** - This form of control relies on a hierarchy of steps (see next section) being implemented in order to mitigate the likelihood of a risk being realised. Reduction will always form part of a risk control approach as some core functions of a business will require this kind of treatment
3. **Retention** - All risks that are not avoided or reduced are essentially retained. In such cases there will be an acceptance of the loss associated with the risk being realised. There are some situations for which even insurance cannot be obtained and a strategic decision must be made to accept the losses likely from the risk event.

The business will need to carefully evaluate its existing control options and decide if they need amending due to various changes taking place in both the internal and external operational environment.

1.4 Identify operational risk control procedures

Introduction

Identifying risks and determining the impact of this risk on operations through a risk matrix is a critical task for any organisation. Knowing a risk is present is only part of the story. From this point it is essential that easily identified procedures are in place to control the risk. These procedures aim at achieving what is known as ALARP, being to keep the risk "As Low as Reasonably Practicable".

Hierarchy of risk control

“Risk reduction” or what is sometimes known as “risk treatment” aims to lower risk through a hierarchy of control. This is the most common way of controlling risks. This hierarchy should be known, understood and be accessible to all staff as part of the risk control plan for the organisation. Work your way down the list until the most suitable control measure to eliminate or minimise the risk has been identified. The hierarchy consists of the following key parts:

<table>
<tr><th colspan="3">Hierarchy of Controls</th></tr>
<tr><td rowspan="6">Most effective

Least effective</td><td>Elimination</td><td>Can the risk be removed? An example may be that if an employee is working on a plant on an exposed balcony, could the plant be moved indoors before work is carried out on it.</td></tr>
<tr><td>Substitution</td><td>Can something be replaced with another item which is less hazardous? If cleaning staff are using a chemical with very strong toxic fumes, is there another product available which does not have these characteristics?</td></tr>
<tr><td>Isolation</td><td>Can something dangerous be isolated so that the risks of people being near it are reduced? A sharp edged piece of furniture next to a busy walkway might be moved to a quieter location.</td></tr>
<tr><td>Changes to plant, procedures and workplace</td><td>Work practices which currently require people to undertake risky tasks or work with dangerous materials may be changed. An example may be that staff members, who currently are asked to move furniture, now get this task done by experienced removalists.</td></tr>
<tr><td>Administrative controls</td><td>Can the way people work be changed? This might entail further training or the use of signs and labels to remind people of the hazards they are dealing with. It may also involve putting policies and procedures in place. An example could be that staff members are trained to lift heavy loads correctly and avoid back injuries.</td></tr>
<tr><td>Personal protective equipment (PPE)</td><td>Where tasks with potential risks must be undertaken, what protective equipment can be used to lessen the dangers associated with this? If cleaners have to use a particular chemical then they are provided with PPE such as gloves, face masks and eye goggles.</td></tr>
</table>

Work example	Raj is a waiter in a tourist café. He has just cleared a table of dirty dishes and is taking them to the kitchen. He notices in the middle of the dining room that someone has spilt their water on the tiled floor next to the water station. **Hazard**: water on a tiled floor **Risk**: slips and/or falls **Likelihood**: 4 **Consequence**: Serious injury requiring specialist treatment or hospitalisation **Control measure**: *Isolation* - place a wet floor sign/s and mop up the water *Elimination* – leave sign out until floor is dry and hazard is eliminated.

Rating the cost of implementation of viable options

Each of the treatment options described above must be assessed against the likely cost of implementation. This cost should not be seen just in monetary terms, but also as part of its impact on the efficient operation of the business and the level of productivity of staff. For this reason, businesses must use their risk assessment process to determine which options need to be adopted and which can wait. Whilst it might be ideal to redesign the foyer of a hotel to eliminate steps as potential fall hazard, it may only be feasible at this point to place non slip surfaces on the steps and provide a sign warning patrons and staff of this. In other instances, the likely costs associated with the risk occurring may dictate immediate remedial action irrespective of cost or disruption to the businesses operations.

Sourcing the requirements for operational risk control implementation, including expertise, physical resources and knowledge

From the perspective of an employee, it is important to know where to obtain what is required to adhere to risk policies and ensure that control measures are implemented in the manner required. Most businesses will have a representative whose main role is to manage the risk control of the organisation and provide advice and support to staff in implementing this. They will be responsible for providing or sourcing the following things:

- Expertise on methods to deal with risk issues
- Physical resources required to manage and treat risk such as PPE
- Sources of knowledge on risk which may be held internally or could be obtained via external bodies and consultants
- In some instances where such a representative is not within the organisation, staff members may be required to obtain these requirements themselves.

Selecting protocols to be put in place to control identified operational risk

The organisation needs to ensure that all of the risks identified are clearly listed and protocols to deal with each have been developed in consultation with relevant staff. In this way as a potential risk event emerges, staff will be able to respond with correct procedures and actions to control it.

Seeking input from stakeholders

It is important that all stakeholders including customers, staff and suppliers are included in the development of these protocols. This consultation process will ensure useful input from stakeholders and a better perspective on the required risk management steps to take.

Deciding on operational risk management processes to be adopted

The risk control process covers many functional areas within a business and requires the action and cooperation of a number of people. In order for this process to be undertaken effectively, the input from these people is required. This will assist with the process of deciding upon what operational risk management processes are adopted. Good risk control will focus initially on seeking input from all stakeholders (including customers) to ensure that consideration has been given to initial risk control activities and planning and ongoing changes can be achieved. This input can be obtained via the following means:

- One on one consultation
- Team meetings
- Online forums.

This consultation process will ensure useful input from stakeholders and a better perspective on the required risk management steps to take.

Risk Assessment Tool - Hotel Operators for Room Attendant Tasks

This tool covers the most common hazards for Room Attendants in a typical hotel and does not cover all tasks for Room Attendants. This tool will help you decide how likely it is that an incident will happen and how severe the impact of the incident could be. This is known as a 'risk assessment'.

This tool can be adapted for other job roles in a hospitality and tourism context.

A good place to start is to become aware of what can cause harm and then take action to make sure no one is at risk in your workplace. Ask yourself the following questions as part of the risk assessment process.

Do you consult with your employees about safety issues?

☐ Yes ☐ No

Do you encourage your employees to report safety problems?

☐ Yes ☐ No

Do you have a Work Health and Safety (WHS) policy that clearly specifies how health and safety will be managed at your workplace?

☐ Yes ☐ No

Have you developed safe work procedures so employees, know how to do their job safely?

☐ Yes ☐ No

Do you provide training for employees, particularly where changes in work procedures occur?

☐ Yes ☐ No

Do you supervise employees to make sure the safe work procedures are effective and are followed?

☐ Yes ☐ No

Do you regularly monitor and review these measures to make sure they are still effective and being followed?

☐ Yes ☐ No

How to complete a risk assessment

You should involve your employees when carrying out any risk assessment.

Step 1: Identify hazards in the workplace by: reviewing past injury/illness and incident investigation records; talking to employees; doing an inspection of the workplace; and analysing the way work tasks are performed - consider lifting, bending and repetitive tasks, room layout, and any slip and trip hazards.

Step 2: Review any guidance material, minimum standards or legislation governing the particular hazard. Where such information exists, it should be followed immediately. If no information exists, then do a risk assessment of the particular hazard.

Step 3: Consider who might be injured and how. Are there existing measures already in place? Are they sufficient? You should prioritise the risks to determine which ones you should address first. To help you do this, you can use the Risk Matrix on the last page.

Step 4: Take steps/measures to eliminate or reduce the risk. This is also known as 'risk control'. Use the Hierarchy of Control to do this.

Step 5: Keep records of the risk assessments you have completed. Make sure that the risk controls are well documented and employees are informed about the controls and safe work procedures that have been put into place.

Risk Assessment record for Bed making

<table>
<tr><td colspan="3" rowspan="2">TASK/ACTIVITY: Bed making/changing</td><td>Date assessment conducted and by whom</td><td></td></tr>
<tr><td>Date assessment reviewed and by whom</td><td></td></tr>
<tr><td>Hazards identified</td><td>Level of risk</td><td>Risk controls to be put in place</td><td>Person responsible for putting risk control in place and by when</td><td>Date put in place</td></tr>
<tr><td>Manual handling
• Lifting, lowering, pushing, pulling, moving mattresses
• Pulling pillow cases off pillows
• Carrying, folding, tucking linen
• Pushing equipment trolley
• Overloading equipment trolley (e.g. with clean or dirty linen)
• Lack of time to work safely
• Poorly designed equipment trolley
• Frequent bending/ twisting postures</td><td>High
Probability of muscular or joint stress or strain from over exertion or repetitive nature of tasks</td><td>• Use other forms of bed covering/linen to reduce manual handling requirements
• Limit the number of tasks per day
• Develop safe work procedure for this task
• Train staff on how to recognise and control manual handling risks; safe manual handling methods; safe use of mechanical aids (such as trolleys)
• Improve the way work is planned
• Put in place an equipment maintenance program
• Improve work environment by designing safer rooms
• Improve work practices-e.g., kneeling reduces strain on back, arms and shoulders; reduce weight of loads to avoid injury to ankles - ‘don’t</td><td></td><td></td></tr>
</table>

TASK/ACTIVITY: Bed making/changing			Date assessment conducted and by whom	
			Date assessment reviewed and by whom	
Hazards identified	**Level of risk**	**Risk controls to be put in place**	**Person responsible for putting risk control in place and by when**	**Date put in place**
		twist, move your feet'.		
Slips, trips or falls • Obstructions caused by linen or other furniture/ objects in work area • Insufficient lighting • Poor access	**Medium** Probability of muscular or joint stress or strain from over exertion or fall	• Use other forms of bed covering/linen to eliminate/reduce slip or trip hazard • Make sure work area is clear of obstructions • Provide adequate lighting • Improve access to work area		

Source: Work Cover NSW Hotel/Motel Operators Risk Assessment Tool for Housekeepers Tasks www.workcover.nsw.gov.au

Risk Assessment record for cleaning bathrooms

TASK/ACTIVITY: Cleaning bathrooms			**Date assessment conducted and by whom**	
			Date assessment reviewed and by whom	
Hazards identified	**Level of risk**	**Risk controls to be put in place**	**Person responsible for putting risk control in place and by when**	**Date put in place**
Slips, trips or falls • Wet/slippery floors • Restricted or cramped work area • Uneven floors or steps • Insufficient lighting • Worn rubber seals on shower screens (may allow leakage of water onto bathroom floor)	**High** Probability of muscular or joint stress or strain from over exertion or fall	• Make sure surfaces are dry and slip resistant • Make sure work area is clear of obstructions • Improve access to work area • Provide appropriate shoes with good grip • Provide adequate lighting • Make sure rubber seals on shower screens are maintained • Develop and train staff in safe work procedures for cleaning bathrooms		
Slips, trips or falls • Obstructions caused by linen or other furniture/ objects in work area • Insufficient lighting • Poor access	**Medium** Probability of muscular or joint stress or strain from over exertion or fall	Use other forms of bed covering/linen to eliminate/reduce slip or trip hazard Make sure work area is clear of obstructions Provide adequate lighting Improve access to work area		

Source: Work Cover NSW Hotel/Motel Operators Risk Assessment Tool for Housekeepers Tasks www.workcover.nsw.gov.au

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

1.1 What sort of laws and regulations relating to risk management and safety are there in your jurisdiction which your business must comply with?

1.2. In relation to your current workplace ask the following questions:

- What untoward things could happen?
- What would be the impact?
- What can we do about it?
- How do we tell everyone involved?

1.3. Complete a risk assessment of an area of your organisation and using the risk matrix and hierarchy of controls classify the risk and identify the risk control procedures you will put in place.

You may like to use the Risk Assessment Tool provided and adapt it to suit your organisation's needs.

Activity 1 - Far East Travel is a busy travel agency operating in Jakarta which has been undergoing a major expansion, taking on many new staff and investing in a new computer system. They specialise in tours to historic sites around Asia and in recent years their clientele has included older retired people, many of whom have never travelled abroad before. The trips are conducted all year round irrespective of weather conditions. They have also recently begun to include some African locations in their itineraries. The owner of Far East Travel has recently become concerned at the possible risks the company is exposing itself to and has asked you to put the likely risks it faces into context so that they are easily explained to all staff.

Activity 2 - Consider your own organisation. Using two of the techniques described in element 1.2 Identify Operational Risk, identify and describe some risks that it faces. Explain the risks in terms of the where, when, how, why and what.

Assess each risk using the risk matrix from the workbook. Which of the two risks would require priority and why?

Activity 3 - Consider a work activity in your business. What sorts of risks are attached to this activity? How likely is it to happen and what would be the consequences if it did? After considering these things have a go at allocating a box to the activity in the matrix above.

Summary

Undertake initial operational risk management procedures

When undertaking initial operational risk management procedures it is important to consider:

- How well you have established the context for the operational risk by establishing internal and external contexts and understanding the legal implications of this
- You have identified the operational risk you are dealing with by looking at the root causes of risk and applying correct risk identification techniques
- The operational risk has been assessed via likelihood and consequence analysis, the use of a risk management matrix, determining the exposure of the business, determining whether to address the risk, and if so using risk control options
- Operational risk control procedures have been identified through use of the hierarchy of risk control, viable options for control have been rated, relevant supporting resources have been sourced, risk control protocols adopted, stakeholder input sought and a decision made on the final risk control processes to be adopted

Element 2:
Prepare risk management strategies

2.1 Develop written operational risk management policy

Introduction

A policy is a statement about the culture of an organisation and gives an explanation of why activities are to be undertaken. They will also provide guidelines for action and a mechanism for dealing with issues as they arise.

A risk management policy should have two main purposes. The first is to identify, reduce and prevent incidents and the second to review past incidents with a mind to prevent future occurrences.

A risk management policy

A risk management policy will normally consist of the following sections.

The reason for the business wanting or needing to manage operational risk

This will be consider the context of the workplace and the different processes and operational activities that characterise it as well as things that could go wrong with this and the risks it would expose the business to.

The objectives of the operational risk management strategies

What kind of things are to be achieved through the strategies? They may be described in terms of a reduction in workplace injuries, poor customer feedback or systemic workplace errors. These objectives need to be clearly stated and be accessible to all affected stakeholders including customers.

Statements regarding the level of operational risk the enterprise will allow or engage in

Such statements will need to quantify what these levels are and are an acknowledgment that not all operational risk can be eliminated and management of risk and an acceptance of possible consequences will be necessary at some point within certain parts of the businesses operations.

The ways in which the enterprise will manage operational risk

This will clearly list the approach to be undertaken to manage risk and detail the process staff should follow.

Allocation of responsibilities for operational risk management

This will clearly identify areas of responsibility for different risk management activities and the key personnel involved.

Identification of reviews of operational risk of existing operational risk management strategies; this will give an honest appraisal of how well current strategies are dealing with risk and provide insight into where improvements to the system could be made. In identifying and assessing current risk approaches the business will also need to consider its compliance with industry codes of practice and relevant government legal requirements.

Statement by management committing the enterprise to managing operational risk; management will need to show their commitment to managing operational risk in the business by issuing a statement, accessible to all staff and stakeholders which affirms this. This does not need to be a lengthy document but will confirm the importance placed on the implementation of the policy.

As part of a risk management strategy an organisation will adopt or develop a selection of policies. These may include things like handling hazardous chemicals, discrimination, handling alcohol responsibly etc. An example of a Bullying Policy for a restaurant group is below. *Thank you to The Kazbah Group for allowing their Bullying Policy to be added to this resource. NOTE: This policy has been adapted for this document.*

(KG02WS) Bullying Policy

Purpose

This policy is aimed to ensure the health and safety of workers is protected so far as is reasonably practicable from the effects of bullying and harassment by:

1. Outlining our commitment toward eliminating bullying within the workplace
2. Defining what is considered to be bullying and what is not
3. Outlining the responsibilities of all parties to eliminate bullying within the workplace
4. Outlining how to report instances of bullying and the processes following a report
5. Outlining the consequences of bullying.

Scope

This policy applies to all workers of XXX who are engaged in one of our restaurants.

References

XXX will comply with the relevant jurisdictional work safe legislation and regulations, the Fair Work Act and other relevant legislation and industry standards. We acknowledge this policy was prepared with reference to relevant Codes of Practice.

This procedure does not form part of a workers contract of employment, however failure to comply with the procedure may lead to disciplinary action up to and including the termination of employment and/or other legal action.

The policy may be amended from time to time at the discretion of XXX.

Bullying and Harassment Statement of Commitment

XXX is committed to providing a safe working environment where workers are protected so far as is practicable from all hazards to physical and mental health. XXX recognise that bullying and harassment is a workplace hazard as it may affect the emotional, mental and physical wellbeing of workers. Therefore XXX is committed to eliminating workplace bullying and harassment so far as is reasonably practicable; by ensuring everyone is treated with dignity and respect.

What is Workplace Bullying

Bullying is considered to be **repeated** and **unreasonable** behaviour directed toward an employee, or group of employees which creates a risk to health and safety.

"Repeated behaviour" refers to the persistent nature of unreasonable behaviour being exhibited rather than the behaviour itself. Therefore bullying can be a range of different behaviours being exhibited over an extended period of time. In certain circumstances, bullying can be the exhibition of one serious act.

"Unreasonable behaviour" means behaviour which a reasonable person would see as victimising, humiliating, undermining or threatening.

Bullying can be intentional or unintentional. Intentional bullying is where the actions were intended and designed to victimise, humiliate, undermine or threaten the victim(s). In circumstances of intentional bullying, the effect of the behaviour is of no consequence with the intent being the sole defining factor i.e. if the behaviour was intended to victimise, humiliate, undermine or threaten, then it is bullying even if the behaviour did not achieve the intended effect.

Sometimes workers may not realise that their behaviour can be harmful to others and therefore unintentionally engage in bullying. Although there was no intention to victimise, humiliate, undermine or threaten a victim, unintentional bullying exists where the behaviour did as such and should also have reasonably been expected to do so.

Workplace bullying can be face to face or can also occur away from the physical location of the workplace. Examples of where bullying can occur away from the workplace are via social media platforms (Facebook, Twitter etc.), phone calls or text messages, letters, social functions or stalking.

Bullying can occur:

1. **Downwards –** From managers to workers;
2. **Sideways –** From worker to worker
3. **Upwards –** From worker to manager. Examples of bullying include:
    - Verbal Abuse using insulting or offensive language;
    - Spreading rumours;
    - Displaying offensive material;
    - Teasing including practical jokes;
    - Unreasonably overloading a person with work, or assigning them to meaningless tasks which are unrelated to their job;
    - Deliberately withholding information which is vital for effective work performance;
    - Occupational Violence (threatening to or actually striking, kicking, pushing, spitting, biting, throwing objects, attacking with weapons);
    - Making vexatious (fake) claims of bullying or otherwise against a worker.

This is not an exhaustive list.

<u>What is not Workplace Bullying</u>

Many things can occur at work which while being uncomfortable for those involved, is generally not considered to be bullying. Differences in opinion, conflicts and personality clashes can and do occur in any workplace but typically do not result in bullying. Furthermore a single incident of unreasonable behaviour is typically not considered to be bullying. Nonetheless, the above can escalate into bullying and should therefore not be ignored and should be reported.

Management action which is reasonable and carried out in a fair way is also not bullying. It is a manager's right to direct and monitor work and to provide feedback and discipline to workers on performance and behavioural grounds.

Examples of reasonable management actions include:

- Setting performance goals, standards and deadlines
- Allocating work
- Creating rosters and allocating work hours
- Deciding not to promote a worker
- Informing a worker about unsatisfactory work performance
- Informing a worker about unsatisfactory behaviour
- Implementing organisational change or restructuring
- Following performance management processes.

This is not an exhaustive list. Management action may be considered bullying if not conducted in a fair way.

Workers Responsibilities:

Workers are required to take all reasonable care to protect the health and safety of not only themselves but also of others. Therefore in regard to bullying, workers are required to adhere to the XXX employee code of conduct in their dealings with others at work, and not engage in bullying. Workers should be made aware they could be held personally liable under law for engaging in activity (such as Bullying), which jeopardises health and safety. Workers who are found to have engaged in bullying behaviour may be subject to disciplinary action including the possible termination of their employment.

Furthermore, workers are responsible for reporting instances of bullying to XXX through the use of XXX's Incident notification procedures or XXX grievances handling procedure should they be subjected to, or witness acts of bullying. It is expected workers will report behaviour they may witness and perceive to be bullying, even if they themselves are not the victim of or subjected to the behaviour.

WHAT YOU IGNORE YOU ACCEPT

XXX Responsibilities:

XXX is committed to eliminating bullying from the workplace in keeping with our responsibility to protect the health and safety of our workers. XXX will respond to reports of bullying using XXX's grievance handling procedures which will aim to resolve the issue in a manner which is both confidential and timely. All outcomes achieved through this procedure will aim to prevent future instances of bullying from taking place. XXX is responsible for the training of workers in regard to what is and is not bullying, as well as setting acceptable standards of behaviour within the workplace through up to date and relevant employment policies.

What to do if you feel you are being bullied

If a worker believes they have been subject to bullying, they should follow the procedures set out in XXX's Grievance Handling Procedure. The way in which XXX will respond is also set out in this procedure.

Workers will not be victimised or treated unfairly or unjustly for raising a matter. However, should it be found that the matter is vexatious (made up) the Worker may be subject to disciplinary action up to and including the termination of their employment.

About this policy

Related Policies:	• KG04WP Grievance Handling Procedure • KG08HR Employee Code of Conduct • KG11HR Discipline and Termination Policy • KG09WP Incident Notification Procedure
Approved By:	Compliance and Risk Manager
Authorised By:	CEO
Contact:	XXX

2.2 Develop written operational risk management plans

Introduction

An effective Risk Management Plan can assist a business in preventing issues developing into major emergencies. These plans can assist in calculating the likelihood of an event, how it might impact on the business and how to mitigate the problems associated with such risks. Having such a plan will help with dealing with such circumstances and hopefully prevent them happening in the first place.

A risk management plan

This is a 10-step process to developing a Risk Management Plan.

1. Make a commitment, as an organisation, to risk management
2. Identify all possible threats and risks
3. Assess the level of each risk
4. Decide to accept, treat or transfer each risk
5. Determine treatment options for all unacceptable risks
6. Formalise your Risk Management Plan
7. Implement your treatment options
8. Communicate information to everyone affected
9. Review your Risk Management Plan after 6 months
10. Identify any new risks and update your plan.

A good Risk Management Plan will include the following:

Description of risks to be managed

The plan should include a detailed description of the nature of the operational risks to be managed. This is the starting point for the plan and clearly describes the nature of the risks and the functional areas they relate to.

Allocation of resources and responsibilities

This section will provide details on the resources available to deal with the identified risks as well as the staff members who are responsible for overseeing this.

Action to be taken

This section describes action to be taken in the event of an operational risk becoming a reality. This includes specific actions to be taken by nominated persons, a sequencing of their actions and the identification of resources to assist in risk abatement/treatment.

Preventative action

There will also be detail on preventative action to be taken to reduce the chance of an operational risk becoming a reality as well as steps to eliminate unacceptable operational risks, including priorities for doing so.

Steps to eliminate unacceptable operational risks

In some instances, risks identified will have such severe consequences if realised that the only control option will be to eliminate them. In this case the business must determine the nature of these steps. It may be that the only sure way of elimination is to discontinue an activity or implement expensive controls to provide total protection against the risk being realised.

Risks that cannot be eliminated

The plan will acknowledge that not all risks can be eliminated through the actions above. The risk control measures to be applied to such risks will need to be highlighted. This will form the basis of future discussion as the plan is updated and modified due to ongoing changes in the business and its environment.

An operational Risk Management Action Plan template is included on the next page.

Risk Management Action Plan" template

Risk Management Action Plan									
Potential Risk and date identified	**Level of risk (rating risk as low, moderate, high)**	**Reason for risk rating**	**Action (what is to be done)**	**Resources required**	**Responsibility**	**Timeline (when should it be done)**	**Communication (strategy to inform relevant parties e.g. committee personnel)**	**Risk Treated (Yes/No) and Date Treated**	**Review date (when should it be reviewed by)**

2.3 Develop written operational contingency plans

Introduction

Imagine a situation where a travel agency is unable to conduct its usual operations due to a major event such as a storm leading to a blackout (no power). Such an event obviously carries a number of risks of its own and the longer the business stays without power the more these risks will be magnified.

Where such risks have been identified, part of good management is to prepare a Contingency Plan which can be activated in such situations. A powerful example of how this can work was demonstrated by the Financial Services firm Cantor Fitzgerald. On September the 11th 2001, 658 of its 960 employees in New York were tragically lost during the attacks on the World Trade Centre. In spite of this the firm resumed business within a week and is still operating today. This was only possible through prior contingency planning.

The contingency plan

A Contingency Plan is an action plan designed to assist an organisation effectively respond to a significant future event or situation that may or may not happen. This plan will provide detail and directions on appropriate steps to take in situations such as:

- Unforeseen incidents such as natural disasters, blackouts, gas leaks etc.
- Personnel issues such as a number of staff being absent due to illness or key personnel resigning
- Environmental factors including sudden changes in the business environment due to an economic downturn
- Resource availability where such resources required for the operation of the business are hard to obtain
- Budget constraints such as limited funding for operations due to a range of factors.

The plan itself is designed to deal with the situations outlined above by explaining areas of responsibility within the business and who would normally be expected to deal with various situations. It will explain this to a department and even tasks level if required. As well as explaining the process to follow when such risks are realised it will also provide guidance on how to deal with the broader public, including the media so the reputation of the business during and after the crisis can also be managed.

Writing the Contingency Plan

In order to write a contingency plan the first step is to get together a representative group covering all relevant areas of the business operations. This will ensure that the skills, tools and knowledge of each of these areas are present.

Next consider all the business processes for which contingencies need to be made. Such things could be as diverse as data storage for the IT Department to occupancy rates for the hotel. The key assumptions should also be considered relating to what contingencies are being prepared for.

At this point you should prioritise the assumptions you have made and determine what events or developments could be most impactful and what trends, events or problems could lead to them.

As part of the risk management process, there needs to clearly established lines of authority to deal with events. This provides individuals with the scope to deal with a risk pertinent to their area of operation. It might also mean altering some normal operating procedures and limiting actions as part of the risk control process, and staff need to be authorised to do this. Risk events will often be widely known and reported beyond the business and some staff will need authorisation to deal with outside agencies including the media as part of managing the organisation's response to the risk.

Next is to decide what steps can be taken to deal with the impact of the events. This will require input from representatives from each area and a clear outline of how each contingency plan will be implemented.

As well as controlling the risk, guidance also need to be in place to ensure normal operating procedures can be re-established. This will entail staff following procedures to bring a business back to full operational status i.e. a resort reopening after a cyclone.

- Specific actions to retain customers and market share
- Specific actions to maintain confidence of the industry, stakeholders and customers in the enterprise
- Damage limitation and damage control protocols.

By ensuring reestablishment of operations as quickly as possible as well as communicating actively with customers and stakeholders, retention of business and market share is more likely to be accomplished. This will have the net effect of maintaining confidence in the industry in which you operate and particularly your own enterprise. It will also limit damage both in terms of reputation as well as ongoing financial costs whilst recovering from an event.

The plan needs to be structured in a positive manner. The emphasis should be on involving a number of people and coordinating their contributions to produce a document reflective of the organisation.

The plan should be reviewed with all stakeholders as well as being checked for factual and grammatical errors.

Testing the Contingency Plan

The plan should be tested to ensure it is viable in a likely scenario. This can provide valuable data on how well the plan works across all areas and departments and offers opportunities to make changes to better synchronise approaches across the business. The test process needs to be approved by senior management and a date and time set for its activation. Each department will also need to review the other individual contingency plans to ensure a good fit. Individual areas can then test system failures and do role plays of reactions to these. This can be done without any actual shutdowns of key systems. This testing process may ultimately lead to a real time shut down of a critical system to ensure a rigorous approach is in place, but must be carefully planned across the business to avoid any actual damage to operations or the interests of stakeholders.

These are 2 examples of simple contingency plans.

Sample Safeguard Implementation Plan Summary Table

(1) Risk (Vulnerability Threat)	(2) Risk level	(3) Recommended Controls	(4) Action Priority	(5) Selected Planned Controls	(6) Required Resources	(7) Responsible Team or Persons	(8) Start Date/ End Date	(9) Maintenance Requirement/ Comments
Unauthorised users can access server and browse sensitive company files with the guest ID.	High	Disallow “world” access to sensitive company files. Disable the guest ID or assign secure password to guest.	High	Disallow “world” access to sensitive company files. Disabled the guest ID.	10 hours to reconfigure and test the system.	Server System Administrator Company Firewall Administrator	1 June 2015 to 1 July 2015	Perform periodic system security review and testing to ensure adequate security is provided for the company server.

(1) The risks (vulnerability/threat) are output from the risk assessment.

(2) The associated risk level of each identified risk (vulnerability/threat) is the output from the risk assessment.

(3) Recommended controls are output from the risk assessment process.

(4) Action priority is determined based on the risk levels and available resources e.g. funds, people, technology.

(5) Planned controls selected from the recommended controls for implementation.

(6) Resources required for implementing the selected planned controls.

(7) List of team(s) and persons who will be responsible for implementing the new or enhanced controls.

(8) Start date and projected end date for implementing for new or enhanced controls.

(9) Maintenance requirement for the new or enhanced controls after implementation.

BOMB THREAT CONTINGENCY PLAN

In the event that the ABC TOURS corporate office is contacted with a threat of an explosive, chemical, or biological device, the following procedures should be followed in order to alleviate panic and set evacuation in motion.

During Normal Business Hours

- Immediately call Emergency and notify the authorities of the situation
- Immediately report the threat to the nearest available Department Manager so that they may notify other departments of the situation and evacuation procedures can get under way
- Notify ABC TOURS Building Management so that they are able to contact and notify the other businesses in the building to evacuate
- All personnel are to evacuate the premises and gather at the emergency meeting area so that they can be accounted for.

During Weekends, Holidays, or Other Non-Working Hours

- Immediately call Emergency and notify the authorities of the situation
- Determine if there are any employees still working on the premises and have them vacate the building immediately
- Notify ABC TOURS Building Management so that they are able to contact and notify the other businesses in the building to evacuate
- Any and all personnel are to evacuate the premises and gather at the emergency meeting area so that they can be accounted for.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

2.1 Review the 10-step process to developing a Risk Management Plan.

Provide an explanation for each step and how it applies to your organisation.

1. Make a commitment, as an organisation, to risk management
2. Identify all possible threats and risks
3. Assess the level of each risk
4. Decide to accept, treat or transfer each risk
5. Determine treatment options for all unacceptable risks
6. Formalise your Risk Management Plan
7. Implement your treatment options
8. Communicate information to everyone affected
9. Review your Risk Management Plan after 6 months
10. Identify any new risks and update your plan.

2.2. Does your organisation have a similar Risk Management Plan? How is it set out? Why do you think it is structured in this way?

2.3. Does your organisation have a similar Contingency Plan? How is it set out? Why do you think it is structured in this way?

Activity

Obtain a copy of your businesses current risk management policy. Provide an overview of how it is set out and what sections it contains. How well has this document served the organisation? Is there any detail on previous risk management policies?

Summary

Prepare risk management strategies

When preparing risk management strategies it is important to:

- Develop a written operational risk management policy following the protocols of an acceptable template
- Ensure risk management plans have been developed in written form following the 10 step process
- Developed operational contingency plans in written form which are understandable to all staff and can be tested in the workplace

Element 3: Communicate risk management strategies

3.1 Inform staff of operational risk management and contingency plans

Introduction

The management of Operational Risk is not just a job for senior management. Its success depends on the involvement of all staff in the business. Encouraging this involvement is critical and the best way to make this happen is through an ongoing and honest provision of information. Staff who are informed will feel part of the Risk Management process and will be better able to implement appropriate actions in support of it. Staff will have valuable first-hand knowledge of many areas relevant to risk management such as:

- Issues with work practices and procedures
- Faults with equipment and venue facilities
- Design and layout of work areas
- The type, seriousness and frequency of possible risk events.

Providing and explaining written copies of plans

How do staff access Risk Management and Contingency Plans?

Does a business make it easy for staff to understand what is required of them in the Risk Management and Contingency Process?

Risk Management Plans and Contingency Plans need to be made available to all staff and adequate explanation needs to be provided to ensure everyone understands their role and how they should contribute to this.

The normal process today would be to have the plan accessible via a company intranet and clear contact details for specialist staff who can provide further explanation and context. Where an intranet is not available hard written copies of these plans may be stored with other company policies, procedures and operational plans.

Whilst an organisation may have plans in place they are useless unless staff have access to them, are able to understand and implement them. It's important that the each section of the Risk Management Contingency Plans is explained to staff and they understand what it means for them, their department and their organisation. Key content will relate directly to specific job roles more than others. Whilst content like the hierarchy of controls and incident reporting will relate to all staff, contingency planning will relate to the specific job role and department.

Advising on the introduction of plans

The introduction of the Risk Management and Contingency Plans provide a business with an opportunity to ensure a high level of consultation with affected staff before any plan is finalised and also to engage people at an early stage of implementation so that they are fully committed and involved. Notice should also be given that a Risk Management Plan is being developed by the relevant area of the business and arrangements made to organise any input people may wish to make.

Procedures for notification of risk situations

The Risk Management and Contingency Plans should include a section on ensuring that any situations which arise which are likely to cause a risk are reported immediately. This will require clear easily followed procedures for notifying relevant personnel within the business so that steps can be taken. Risk may be notified in the following ways:

A verbal report to a supervisor - this will be most appropriate in situations where urgent action is needed and the issues are escalated to ensure steps are taken. In such cases all staff will need to appreciate the urgency of taking this action and supervisory staff shall likewise be clear on their responsibilities to prioritise such requests.

Completion of a report form - such reports could include a formal request for action which needs to be completed by a staff member (with assistance from a supervisor) In some organisations, in order to speed up the process, specially designed brightly coloured post it notes have been developed which can be placed on faulty equipment or in an area of risk to alert others to it and ensure that it has been reported. This form should include the nature and location of the hazard, who it was reported to, what action was taken and whether the risk has already been dealt with. (See example below)

Sample Hazard Report Form
1 Brief description of Hazard/Health and Safety issue: (Include details, if any, of immediate action taken to ensure the safety of persons who may be affected.)
2. Where is the hazard located in the workplace?
3. Time/date hazard identified
Date: ___/___/___ Time: am/pm
4. Recommended action to fix hazard/issue
5. Reported to Workplace Health and Safety Representative (WHSR)
6. Has the hazard/issue been addressed? YES/NO
7. Do you consider the issue/hazard fixed? YES/NO
Signature:
Date: ___/___/___

Having the issue raised at a staff meeting - staff meetings offer a good opportunity for people to outline areas of risk they may have encountered and which they are concerned by. In this case the minutes of the meeting would record the likely risk and also what steps have been agreed on to deal with it.

In each of these notification instances, the staff involved will need to understand the nature of the risk in terms of its likelihood and consequences when considering how to bring it to the attention of the business.

3.2 Conduct staff training

Introduction

Awareness of Risk Management and Contingency planning and implementation relies on staff understanding what is expected of them and knowing how to be both proactive and reactive where circumstances dictate.

Internal and external training

Good training is at the core of ensuring this happens. This training can be conducted in a number of ways but at its core it must ensure an effective transfer of learning. The business has the option of carrying out both internal training where staff are trained from their peers and external training where staff may be sent to a provider (expert in this training) to conduct the training or alternatively a subject matter expert trainer carries out such training in the workplace.

Practices and drills

An effective way to train staff for some risk events is through conducting practices and drills. Practice sessions could be used to test the level of readiness for something like a major IT system shutdown or data recovery requirements or emergency procedures. Drills would be particularly useful in situations covering risks such as chemical spills and fire evacuations where entire departments or even the whole business need to be involved. To make them successful the following four points should be kept in mind:

1. Ensure the organising committee has representatives from all parts of the business
2. Provide information to employees before drills begin. This ensures they know what to do and when
3. Develop different scenarios for drills to test different levels or readiness
4. Conduct the drills regularly but not so often the staff become complacent or used to them.

Both of these activities should be viewed as learning processes for both management and staff as valuable insights will be gained by all who are involved and provide people with an opportunity to test and apply risk control strategies and techniques.

Case studies, role plays and simulations

Another useful means of training people in Risk Management and Contingency Planning can involve Case Studies. A Case Study is a form of problem based learning. A situation is presented and this requires a solution from which people gain skills and knowledge which they can use in their own work application. Case studies work well in the following situations:

- When you want to focus on why and how to apply a skill
- When a work team is required to apply risk management approaches
- When problem solving skills require practice by staff.

When past situations require evaluation i.e. the case study might describe a prior fire drill at the Hotel and how well people thought it was handled based on the information presented.

Role Plays are another useful training technique which can assist staff. In Role plays, staff are required to assume a role within a created scenario and then act out in the manner they feel is most appropriate how they would deal with this. In order to make role plays even more effective consider some of the following:

Can you use actual locations for it? Dealing with a risky situation in a restaurant is ideally handled in an actual restaurant (but probably when no patrons are present).

Record the role plays. If time and technology allow this is a great way for people to see how they respond to the situations placed before them.

Make the role play scenario as real as possible. Take the most recent incidents and situations and structure roles that relate closely to them.

Can you use simulated operational risk situations that replicate realistic situations? This will give staff the most realistic training experience in lieu of having exposure to real situations.

Application in the workplace

Nothing beats having exposure to real risk situations in real workplaces. However this is often not possible. Staff training in this context may be done via a training buddy that works alongside the staff member and guides them through the process. Alternatively there may be a workplace trainer or supervisor that ensures staff have the appropriate skills and knowledge in the workplace and they can provide on the spot constructive feedback and further training, if needed.

3.3 Prepare resources to inform customers of operational risk management plans and operational contingency plans

Introduction

The management of risk is an activity which also embraces the customers of a business. A business today must make plans to keep its customer base and the wider community in which it operates positively aware of its operations including how it reduces risk and protects them in cases of realised risks.

Emergency Management Plans

As part of this process, the business may produce emergency management plans which will provide information on how you will deal with significant disruptions to operations and the means by which service levels will be maintained or the speed with which they will be reinstated. This is particularly important in the Hospitality area where patrons may be very reliant on the service provider i.e. guests at a resort affected by a natural disaster such as a cyclone. Below is a template for an Emergency Management Plan you can use to do develop your own. Source: www.business.gov.au/plans.

Formats of plans and strategies

Emergency management plans can vary in their overall format but they will all state a number of emergency events, their likely impact on the business and the remedial steps the business must take to remediate them. It will also detail areas of responsibility in terms of what functional areas in the business do respond as the emergency unfolds.

Preparation of pre-prepared statements

The emergency event will also require a means to communicate with all stakeholders to inform them of what the business will do to deal with the situation, but also what is required of them to assist in the management of the emergency. Such statements should be written and approved by management and will form part of any emergency response.

Communicating Plan to customers and stakeholders

As part of preparing its risk management strategy, a business should also develop a means to effectively communicate to all its external stakeholders, including customers, when contingency plans need to be implemented. This will usually take the form of a prepared statement which will provide all relevant details to stakeholders on what the business is doing to deal with a particular risk event and steps the stakeholders need to take in support of this. This may take the form of press release or a notification on the business web site.

In some instances, it may even be necessary to distribute hard copies of plans and procedures to customers where their safety is best served by doing so. This kind of activity is common aboard passenger ships where it is considered prudent to make the plan widely known as a matter of procedure.

Emergency Management Plan Template

[Business Name] Emergency Management Plan [YEAR]

The Emergency Action Plan

Emergency contacts

[List your local emergency services numbers and any additional contacts you will need to phone in an emergency (e.g. Employee's next of kin).]

Organisation Name	Contact	Title	Phone number
Emergency			
Police	-	-	*[(Area code) Number]*
Fire	-	-	*[(Area code) Number]*
Ambulance	-	-	*[(Area code) Number]*

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

Activity 1

You attend your monthly HSC (Health and Safety Committee) meeting and there is an issue with staff using the emergency stairs to move between floors. At times they are being held open with items such as chairs being placed in front of the doors or pieces of paper being placed between the closures. Emergency stairwells are for the staff to evacuate a building safely in the case of an emergency or for emergency services to gain access. Fire doors are designed to keep smoke and fire out of emergency exits when used correctly. Staff using emergency exits in the absence of an emergency need to understand they may face disciplinary action in the future.

Prepare an information sheet that can be placed on the staff notice board advising staff of the risks associated with this activity and the possible consequences. Include any and upcoming training they will be required to attend.

Activity 2

Write a letter that will be distributed to guests to advise them that you will be conducting a training session for staff this Friday at 3pm. Your organisation has implemented a new lock down procedures risk management plan and it will be trialled at this time. Guests will be unable to enter or leave the building for approximately 15 minutes.

Summary

Communicate risk management strategies

In order to effectively communicate risk management strategies you must:

- Inform staff of all operational risk management and contingency plans via provision and explanation of such plans to ensure they can assist in notification of risk situations
- Conduct the training of staff utilising both internal and external training sources as well as practices, drills, case studies and simulations
- Ensure customers are aware of operational risk management and contingency plans via Emergency Management Plans and associated pre-prepared statements.

Element 4: Implement risk management strategies

4.1 Plan for the introduction of written risk management plans

Introduction

Once the risk management plans with associated strategies have been written they will need to be explained to staff in terms of how they will be introduced and applied in the work place. This is best done through staff meetings where management can provide all relevant information to staff and address any questions or concerns people may have.

Staff Meetings

These staff meetings will need to be held in such a manner as to be effective. To ensure this happens, when holding a staff meeting remember the following points:

- Make the objectives clear. People need to know exactly why they need to be there. Ensure a strong agenda is provided well before the meetings
- Only invite people who have a strong need to be there. If there are a lot of people required to attend it may be better to distribute risk management information at a number of meetings across various departments
- Stick to the agenda and ensure that no attendees hijack this and prevent the purpose of the meeting being achieved. Make sure that the meeting starts on time and ends on time. Badly run meetings turn people off attending or focussing when they are at them. Providing information to staff on risk management via meetings will be an ongoing process so we want staff to be keen to attend in the future.

Supporting introduction of strategies

Staff meetings will be one way to support the introduction of risk strategies into the workplace. In addition to this management will need to be committed to be open and transparent in providing any additional information that people may need. This support will also need to extend to providing good training and ensuring that staff are equipped with the necessary tools to contribute to the risk management process.

Acquiring necessary resources

In order for staff to contribute to the implementation of the risk management strategy they will need to be equipped with the necessary resources to carry this out. These will include:

- Consultancy support if required
- Physical assets needed such as tablets or iPads to monitor and record
- Correctly trained personnel
- An appropriate Management Information System (MIS) to handle record and other transactions.

What other things do you think staff would need to contribute to implementing the risk management strategy in the workplace?

Responding to staff and reassuring them

The implementation of a risk management strategy is likely to produce a great deal of anxiety amongst staff. Change in the workplace can have a profound effect on staff. In the first instance they will require lots of information, in these situations it is critical to ensure that there is a process in place for staff to be able to continue to ask questions outside of any formal meetings or training. This may involve a liaison officer being appointed who is in a position to field such questions. The reassurance this provides will be critical in ensuring a positive attitude to the changes being brought about by the implementation.

4.2 Implement risk management plans as written

Introduction

Once a risk management plan has been written it is essential that it is adhered to as written. This ensures a consistent approach across the business in how staff carry out the necessary tasks. Ensuring this adherence is a function of management, but staff also need to be committed to the process.

Putting risk plans into place and practice and ensuring adherence

The initial development of a risk management plan should also include details as to how the plan will be successfully put in place and become part of normal practice. The plan is only as good as the people who use it (or don't use it) and for that reason successful placement will rely on strong management support (including a sell as to why the plan is needed) and monitoring to ensure that staff are referring to the plan when required. As time goes by, people will see the plan as a part of their normal work environment and hopefully utilise it in the way intended.

Taking action to bring plans under control

In situations where a plan is not being adhered to by staff or there appears to be non-compliance with certain aspects of the plan, steps will need to be taken to bring the plan under control. These steps may include:

- Re-training on how to understand and use the plan
- Talking about the plan at staff meetings and briefings
- Place relevant sections of the plan on staff notice boards and in areas where it can be seen e.g. What to do in case of injury, how to report incidents, what to do if there is a need for evacuation
- Supervisors and managers to ensure plans are being adhered to in the workplace whilst staff are undertaking their duties.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

4.1. Complete an agenda for a staff meeting where the risk management plan will be introduced

4.2 What things do you think staff would need to contribute to implementing the risk management strategy in the workplace?

4.3. What would you do if a plan is not being adhered to?

Summary

Implement risk management strategies

When implementing risk management strategies you must:

- Ensure proper planning for the introduction of plans via the use of staff meetings, supporting and reassuring staff and providing required resources
- Implement written risk management plans by ensuring plans are used and adhered to and steps taken where this adherence is not taking place

Element 5: Manage on-going risk exposure

5.1 Identify new operational risks and changes in identified operational risk

Introduction

The risk management strategy of a business will only remain current for a certain period of time. The dynamic nature of business and constant changes in the external environment along with the introduction of new technologies and processes means that the nature of operational risks being faced will also change. For this reason, it is essential that a business be proactive in identifying new risks as they emerge and prepare for the impact this will have on operations.

Encouraging staff participation

With a Risk Management Strategy already in place it is to be hoped that staff are already being proactive in managing risk according to their organisations plan. The danger for a business lies in new threats and risks which may evolve as the operating environment evolves. Whilst management and specialised risk personnel may work to identify these new risks it is also important that staff are proactive in looking for the developing threats and making their presence known at the earliest possible point. Staff participation in this regard can be encouraged through:

- Empowerment of staff rather than domination. Whilst it is important for management to provide the lead, staff need to feel that they are the ones taking action. This means encouraging staff to see the value for them in identifying emerging risks to the business
- Keep everyone informed. Just as staff are expected to report any changes in their operating environment, management should also be prepared to share any information they receive with staff. This will create a positive "we are doing it together" culture in the quest to identify risk
- Utilise staff suggestions. When staff report back on emerging threats, these need to be taken seriously and management must show that the new information is being incorporated into revisions of the risk management plan and strategy.

Establishing a formal internal framework

A formal internal framework will be valuable to ensure that all staff are able to follow the process of identifying new risks and bring this to the attention of relevant staff. In this way there will be a structure in place which can be used in an ongoing manner and provide a level of confidence that everyone knows what is expected of them.

Seeking feedback on risk from customers/stakeholders

Key customers and other external stakeholders can also be valuable sources of information on evolving risks as well as how well the business is dealing with existing risks. In order to get this feedback the business needs to ensure a good level of ongoing communication and contact is maintained. This can be achieved through:

- Direct approaches to customers and stakeholders where they are asked for their response to certain aspects of the business operations
- Consider the customer from their view point. How would they be experiencing the risks you are making provision for and are we looking at it in the correct way?
- Use questionnaires and surveys to determine customer and stakeholder responses to particular areas of your service and how well they think you are managing the risk there.

Some of the feedback customers and stakeholders provide may be anecdotal and arise from contact with the business staff. Ensure there is a process in place to capture this and review its implications.

Inspecting processes, equipment, facilities and the environment for threats

As part of the ongoing process of managing risk exposure, a business must be prepared to carry out inspections across a wide range of functions and processes. This will include:

- **Processes** - How have changes in the way work is done or procedures are followed opened up new areas of risk for the business?
- **Equipment** - Changes to equipment or the way it is used needs to be considered
- **Facilities** - Has there been changes to facilities which have altered certain work practices and created new risk profiles?
- **Business Environment** - Changes in the environment within which the business operates may imply a new range of threats based on this.

Recording and reporting identified risks to management

As a consequence of the above activities, a streamlined process needs to be in place to ensure that management are notified promptly of any changes to the nature of risk faced by the business. Internal systems need to be designed in such a way so as to ensure that a new risk can be promptly and accurately recorded, forwarded to a management representative and then accorded a high priority for consideration. The speed with which management responds to such communication will have an impact on how seriously staff view this important part of operational risk management.

5.2 Monitor implementation of existing plans and strategies

Introduction

The extent to which the business is successfully implementing its existing risk management plan and strategies will have a major impact on its ability to manage risk events in the future. There must be an honest and effective process to monitor its success and also any shortcomings so action can be taken.

Observing workplace practices and maintaining records

A starting point in the monitoring process is to undertake an observation of current workplace practices. This should give us an insight into how well risk management plans are being adhered to at the basic level. In order to do this successfully we need to:

- Ensure the practices being observed are not affected by the presence of the observer
- Pick practices which are operationally important and have a link to potential risk.

Ensure good records are kept of any variance which may indicate an issue with complying with risk management requirements.

Identify and reward instances of compliance

As part of the observation process, notes should be made of staff who through their practices show a high level of adherence to risk management policies. Such decisions could be made based on a scoring approach and relevant staff should be congratulated by management as well as being used as a positive example for other staff to follow i.e. risk management stars. The business may also consider an appropriate reward for the staff member. This reward should also be widely promoted in the business. Rewarding staff may also be done in an informal way by acknowledging them at a staff briefing or meeting e.g. *"Thank you Ping for reporting the high fridge temperatures. We have had the refrigerator fixed and are confident the food being stored is within an acceptable range."*

Identifying and modifying behaviour where there is non-compliance

In cases where observation reveals non-compliant behaviour, steps need to be taken quickly to ensure this does not expose the business to unnecessary risk. It is important to determine what the cause of the non-compliance is. In situations where it is identified as being due to a lack of training or correct management support then those deficiencies need to be attended to. There will however, also be instances where the non-compliance is due to the attitude of the staff member. In such situations the person's level of commitment to the process will need to be sought and possible disciplinary steps initiated. The business must make it absolutely clear that a high level of commitment to risk management is a base line expectation for all staff. This commitment will commence as soon as the staff member joins the business and can be delivered as a part of an induction program. This will then be enforced throughout the staff member's employment with the company. If staff members do not comply then possible disciplinary action such as verbal or written warnings may be acceptable.

Supporting attempts to comply with Risk Management strategies

Creating a risk management focussed work environment takes time and a great deal of support. It should always be remembered that whilst risk awareness and action on the part of staff is critical, they are doing this alongside their normal duties. For this reason management will need to consider ways to support the efforts of staff already engaged in the process. This might be through:

- Financial support, via incentives to work areas to better implement risk management practices
- Time release where staff are provided with extra time on the businesses expense to work on implementing the risk strategy
- Ongoing training of staff to ensure they are equipped in an ongoing manner to meet the demands of implementing risk management in their work areas.

5.3 Ensure near miss events are identified, recorded and analysed

Introduction

"Ali had worried for a long time about the slippery floor in the tiled entrance to the office. One morning as he was carrying in some brochures his worst fears were realised as he lost his footing and fell flat on his back! Brushing himself off, he realised that he was unhurt but deeply shaken. It was a busy morning but he thought he needed to let someone know what had just happened."

A risk which is almost realised like Ali's fall provides us with an opportunity to carefully consider the circumstances of the incident, seek causes and look for ways in which to better manage the risk inherent in the process. Part of the discipline of risk management is to treat near misses as serious developments requiring our immediate attention.

A near miss event refers to incidents and events that did not result in actual injury, damage or other negative impact, but which in other circumstances may have resulted in injury to a person, damage to property, or some other negative impact on the organisation.

Understanding the circumstances

Normal work practices dictate that a near miss should be recorded as an incident and analysed accordingly. An incident report should be prepared which will require input from all staff who were either involved in or witnessed the near miss. This will form a record of all pertinent facts relating to the incident will then be available for analysis.

Analysing the incident

Once the facts of the incident are known and all relevant staff have provided details on it, analysis can then begin. This should focus on root causes for the near miss and particular attention should be on whether the existing risk management regime in place is adequate.

Below is an example of an incident report form that would be appropriate for recording and reporting incidents and near misses.

SAMPLE INCIDENT REPORT FORM

Report prepared by: Contact details:	Date prepared: Company name and address:
Date of Incident:	Time of Incident:
Type of Event:	
Location:	
Type of Incident:	
Incident Details:	
Actions Taken:	
External Involvement: Were authorities or other agencies notified at the time? If so who, by whom, and how? Did they then take a role in managing the incident? If appropriate have the Insurers been notified?	
Final Outcome: What was the final outcome of the incident? When was it resolved?	
Future Prevention: Can this incident be prevented in future? If so, how?	
Supplementary Information:	

5.4 Evaluate implementation of existing plans and strategies

Introduction

An important part of managing an operational risk management plan is to be prepared to evaluate the plan periodically to see how effective it is.

Judging the effect of operational risk management

When the risk management strategy was first set up there would have been a number of objectives developed to measure its effectiveness. These objectives include:

- How well are potential risk events identified?
- How well are identified potential risk events prioritised and treated?
- How well risk management tools and methods are utilised?

A high level of staff involvement in the implementation of the strategy

The risk management strategy will need to be measured against each of these objectives. This measurement process should be based on metrics which will illustrate achievement or under achievement against the strategy. For example, if a figure was agreed on covering the number of potential risk events identified in a certain time period then this could be compared to the actual number of events identified. The business has to determine how it will measure achievement in each instance.

Quantifying advantages and disadvantages of the strategy

Through our activity in judging the effect of the strategy in achieving its main objectives we will also gain an insight into the advantages and disadvantages of the strategy which has been adopted. The advantages such as proactively identifying potential risk events needs to be viewed against any costs or inefficiencies which may result from having the strategy in place. Is the cost of maintaining systems and procedures and equipment less than the perceived value in preventing risk events? This can only be answered through a careful consideration of the likely benefits which our risk management brings.

Deciding on changes that need to be made to the strategy

A risk strategy will not remain static for long. Eventually there will be a need to make changes and this should be expected even as the document is produced. These changes may be based on internal or external factors, but should only be made after careful consideration of how the existing strategy is no longer relevant. Any changes made will also need to be carefully documented as a form of version control, so the new version becomes V2, for example. Risk Management Plans may have an anniversary date that is in the footer of the document, along with the version number that ensures the document is reviewed and changed in line with that date. An example of how may look in the footer may be:

ABC TOURS Risk Management Plan V2/6/15. To be reviewed December 2015.

Identifying changes in the risk environment

An operational risk management strategy is only effective if it is designed to operate in the relevant risk environment. As with most things, this environment may change over time and in so doing will impact on the effectiveness of the strategy itself. A business will need to carefully scan its environment to ensure that its risk strategy is till applicable to the operational environment and does not require amendment. Such changes could include:

- A deterioration in economic conditions – an economic slowdown could produce risks related to lower patronage in the business which in turn could impact on financial viability
- Socioeconomic changes affecting customers and stakeholders – a change in customers preferences based on social changes could produce new forms of risk. A greater number of single people travelling may be a risk if the resort does not cater for this and misses out on business
- Significant technology advances – changes in technology could create risks based around a business not keeping up to date and finding itself at risk of losing customer. Maybe it is because they don't provide free Wi-Fi and this causes a reputational loss.

5.5 Revise existing plans and strategies

Introduction

The operational risk management process is a dynamic one. It should be an expectation of all staff that revisions will be made to the plan as a result of ongoing changes to the internal workplace, processes and general business environment. This revision process must include all relevant stakeholders, reference to previous planning, a means of communicating the changes to staff and any training required to cover changes made.

Involving stakeholders

Any revision of the Risk Management Plan must include all stakeholders to the plan. As well as staff involved in functional areas, this will also mean external groups such as customers, industry representatives and suppliers. Ideally people involved in the original plan would also be present and this would bring together a diverse group who would be able to critically review the plan from their own perspective.

Re-writing plans

The existing Risk Management plan will be used as the basis for the review process. It will be examined with respect to the following key points:

- Changes in the business environment since the plan was written
- Incidents which have taken place since the plan was written
- New workplace processes which have been adopted
- Input from stakeholders received since the plan was written.

The existing plan will then be compared to the implications arising from these changes to determine if the risks it was designed to manage have changed significantly as a result of these changes.

Communicating changes to staff

Any revisions arising from the re-writing activity will need to be made known to staff in a clear and direct manner. Ideally, staff would be aware that a revision is taking place as some of them should have been invited to contribute to the process. As the re-write proceeds, staff should be made aware that a revision will be on its way and then formally advised once this process is complete. A draft copy of the plan should also be distributed for further comment before an official revision is signed off by management.

Provide training to support the revision

When a new plan is released, staff may require support to deal with the new risk management requirements the revision dictates. Information sessions may be appropriate to communicate any changes and implementing the new plan. Training may need to be provided to all affected staff. This training should be carefully planned to ensure that all relevant changes are covered and staff are equipped with whatever new skills are required to work with the plan in their own functional areas.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

Activity

You recently implemented a revised Risk Management Plan for the removal of linen affected by human waste. This plan included using special bags that the affected linen was to be placed into. You have had two reports in the last week from supervisors advising that there are staff not following the procedures correctly resulting in a near miss with a laundry attendant handling linen contaminated linen that was not appropriately bagged

Describe the process you will take to revise the existing plan and strategy to ensure all staff are following the plan to ensure effective implementation. Include an incident report form for the near miss.

Summary

Manage on-going risk exposure

Ongoing risk exposure must be managed through:

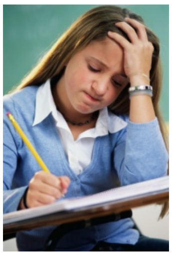
- Identifying new operational risks and any changes in the operational environment by encouraging staff participation, seeking feedback from customers and stakeholders, carrying out inspections and ensuring changes are reported and recorded
- Monitoring the implementation of existing plans and strategies by observing current workplace practices, rewarding compliance and ensuring behaviour is modified where it is non-compliant
- Ensure that near miss events are identified, recorded and analysed by understanding what happened and carefully analysing the incident
- Evaluate how existing plans and strategies are implemented by judging the effect of operational risk management, determining advantages and disadvantages of the strategy, determining changes that need to be made and being aware of changes in the risk environment
- Carry out revision of existing plans and strategies by involving all stakeholders, rewriting plans where needed, communicating the changes to staff and ensuring they have adequate training in relation to these changes.

Presentation of written work

1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

2. Style



Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organised. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognise and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

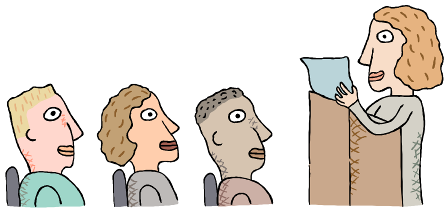
- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

3. Presenting Written Work

Types of written work

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



Format

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

Cover Sheet

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

Keeping a Copy

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

Inclusive language

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

Mankind	*Humankind*
Barman/maid	*Bar attendant*
Host/hostess	*Host*
Waiter/waitress	*Waiter or waiting staff*

Recommended reading

Cather, Davis and Dorfman Mark S, 2012, *Introduction to Risk Management and Insurance 10th edition*, Prentice Hall of India

ISO/DIS 31000 (2009) *Risk management – Principles and Guidelines on Implementation* International Organisation for Standardisation - http://www.iso.org/iso/home/standards/iso31000.htm

ISO/IEC Guide 73:2009 *Risk Management – Vocabulary* International Organisation for Standardisation http://www.iso.org/iso/catalogue_detail?csnumber=44651

Crockford, Neil, 1986, *Introduction to Risk Management* (2nd edition) Cambridge, UK: Woodhead and Faulkner

Safe Work Australia, *Managing Risk to Health and Safety in the Workplace*, August 2012 http://www.safeworkaustralia.gov.au/sites/SWA/about/Publications/Documents/721/Managing-risks-to-health-fact-sheet.pdf

WorkCover New South Wales, 2001, *Risk Management at Work*, Catalogue No. 425. WorkCover Publications, Samat

Emergency Management Plan, www.business.gov.au/plans

Trainee evaluation sheet

Manage operational risk

The following statements are about the competency you have just completed.

Please tick the appropriate box	Agree	Don't Know	Do Not Agree	Does Not Apply
There was too much in this competency to cover without rushing.	☐	☐	☐	☐
Most of the competency seemed relevant to me.	☐	☐	☐	☐
The competency was at the right level for me.	☐	☐	☐	☐
I got enough help from my trainer.	☐	☐	☐	☐
The amount of activities was sufficient.	☐	☐	☐	☐
The competency allowed me to use my own initiative.	☐	☐	☐	☐
My training was well-organised.	☐	☐	☐	☐
My trainer had time to answer my questions.	☐	☐	☐	☐
I understood how I was going to be assessed.	☐	☐	☐	☐
I was given enough time to practice.	☐	☐	☐	☐
My trainer feedback was useful.	☐	☐	☐	☐
Enough equipment was available and it worked well.	☐	☐	☐	☐
The activities were too hard for me.	☐	☐	☐	☐

The best things about this unit were:

____

The worst things about this unit were:

The things you should change in this unit are:

Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

Manage operational risk

		Yes	No*
Element 1: : Undertake initial operational risk management procedures			
1.1	Establish the context for operational risk	☐	☐
1.2	Identify operational risk	☐	☐
1.3	Identify operational risk control procedures	☐	☐
1.4	Identify operational risk control procedures	☐	☐
Element 2: Prepare risk management strategies			
2.1	Develop written operational risk management policy	☐	☐
2.2	Develop written operational risk management plans	☐	☐
2.3	Develop written operational contingency plans	☐	☐
Element 3: : Communicate risk management strategies			
3.1	Inform staff of operational risk management and contingency plans	☐	☐
3.2	Conduct staff training	☐	☐
3.3	Prepare resources to inform customers of operational risk management plans and operational contingency plans	☐	☐
Element 4: Implement risk management strategies			
4.1	Plan for the introduction of written risk management plans	☐	☐
4.2	Implement risk management plans as written	☐	☐

		Yes	No*
Element 5: Manage on-going risk exposure			
5.1	Identify new operational risks and changes in identified operational risk	☐	☐
5.2	Monitor implementation of existing plans and strategies	☐	☐
5.3	Ensure near miss events are identified, recorded and analysed	☐	☐
5.4	Evaluate implementation of existing plans and strategies	☐	☐
5.5	Revise existing plans and strategies	☐	☐

Statement by Trainee:

I believe I am ready to be assessed on the following as indicated above:

Signed: ______________________________ **Date:** ____________

Note:

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

William Angliss Institute

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